

1.

CASE #	CASE NAME	HEARING NAME
CVME2506811	BECKER VS PACIFIC BUILDERS OF CALIFORNIA	DEMURRER / MOTION TO STRIKE

Tentative Ruling: Demurrer is overruled. Motion to Strike is denied as moot. Defendant to respond within 20 days.

3rd Cause of Action for Financial Elder Abuse - Abuse of an elder or a dependent adult means any of the following: (a) physical abuse, neglect, financial abuse, abandonment, isolation, abduction, or other treatment with resulting physical harm or pain or mental suffering; (b) The deprivation by a care custodian of goods or services that are necessary to avoid physical harm or mental suffering; or (c) financial abuse....” (Welf. & Inst. § 15610.07.) Regarding financial elder abuse, section 15610.30 provides in pertinent part:

“Financial abuse” of an elder or dependent adult occurs when a person or entity does any of the following:

- (1) Takes, secretes, appropriates, obtains, or retains real or personal property of an elder or dependent adult for a wrongful use or with intent to defraud, or both.
 - (2) Assists in taking, secreting, appropriating, obtaining, or retaining real or personal property of an elder or dependent adult for a wrongful use or with intent to defraud, or both.
 - (3) Takes, secretes, appropriates, obtains, or retains, or assists in taking, secreting, appropriating, obtaining, or retaining, real or personal property of an elder or dependent adult by undue influence, as defined in Section 15610.70.
- (b) A person or entity shall be deemed to have taken, secreted, appropriated, obtained, or retained property for a wrongful use if, among other things, the person or entity takes, secretes, appropriates, obtains, or retains the property and the person or entity knew or should have known that this conduct is likely to be harmful to the elder or dependent adult.

As a statutory cause of action, elder abuse must be pleaded with particularity. (*Covenant Care v. Superior Court* (2004) 32 Cal.4th 771, 790.)

In addition, the elements of fraud are: (1) misrepresentation or concealment, (2) knowledge of falsity, (3) intent to defraud, (4) justifiable reliance, and (5) resulting damage. (*Lovejoy v. AT&T Corp.* (2004) 119 Cal.App.4th 151, 157-158.) Every element of the cause of action must be pled factually and specifically and the policy of liberal pleading does not apply. (*Quelimane Co. v. Stewart Title Guaranty Co.* (1998) 19 Cal.4th 26, 47.) This particularity requirement necessitates pleading facts which show how, when, where, to whom, and by what means the representations were tendered.” (*Lazar v. Superior Court* (1996) 12 Cal.4th 631, 645.)

Plaintiff argues that his FAC now contains sufficient facts. The FAC alleges that on 8/28/24 at the subject property, Kalashyan and Does 1 through 10, on behalf of Pacific Roofers, personally told Plaintiff that all the work had been completed according to the

contract. (FAC ¶¶ 13, 42.) It is alleged that Kalashyan knew this statement was false when he made it because he knew the duct work seams were not properly sealed; the roof flashings were defectively installed; and the roofing membrane system did not comply with building codes. (*Id.* ¶ 43.) The FAC alleges precise defects that Defendants concealed, which were confirmed by Pacific Roofers' own 10/14/24 inspection as well as the independent roofers Plaintiff consulted. (*Id.* ¶¶ 16, 19-20.) Plaintiff concludes that these allegations state the elements of making a knowingly false representation.

Plaintiff asserts that the FAC alleges the 8/28/24 representation was made with the specific intent to induce Plaintiff to remit the final payment due under the 6/26/24 contract (\$17,500), which he did. (*Id.* ¶ 44.) And, Plaintiff alleges that Defendants specifically targeted Plaintiff due to his age and urgent need to protect his home. (*Id.* ¶¶ 45, 48.) Plaintiff made the final payment in direct and justifiable reliance on the 8/28/24 representation. (*Id.* ¶¶ 14, 44.) Plaintiff sustained damages of \$61,875, which includes \$43,500 for Defendants' worthless work and \$18,375 that Plaintiff had to pay a second contractor to correct the defective work plus treble and punitive damages. (*Id.* ¶¶ 53, 58.)

In addition, the FAC alleges Kalashyan, Pacific Roofers' CEO, President, and Responsible Managing Officer, made the 8/28/24 representation. (*Id.* ¶¶ 3, 10, 42.) The FAC also alleges that Kalashyan personally directed Does 1 and 2 to inspect the property on 10/8/24 and those individuals acknowledged the work performed was defective and Kalashyan ratified and approved the representations made by Does 1 and 2. (*Id.* ¶¶ 17, 47.)

The foregoing allegations are sufficient to cure the defects in the financial elder abuse based on fraud allegations found in the original Complaint. These allegations are more detailed and comply with the particularity requirement as well as the ratification/authorization requirement.

MOTION TO STRIKE -Punitive/Exemplary Damages - To set forth a claim for punitive/exemplary damages, Plaintiff must allege ultimate facts showing oppression, fraud or malice. (Civil Code §3294.) Mere negligence, even gross negligence is not sufficient to justify an award of punitive damages. (*Ebaugh v. Rabkin* (1972) 22 Cal.App.3d 891, 894-895; *Moody v. McDonald* (1854) 4 Cal. 297, 299.) The current definitions of "malice" and "oppression" were changed by the 1987 amendments to Civil Code §3294, to incorporate "despicable conduct." The amendments narrowed the definitions so that punitive damages will only be awarded to punish conduct that is so "vile, base, contemptible, miserable, wretched, or loathsome that it would be looked down on and despised by ordinary decent people." (*Mock v. Michigan Millers Mutual Ins. Co.* (1992) 4 Cal.App.4th 306, 331.)

Generally, claims for punitive damages must be pleaded with particularity as to the facts constituting the alleged egregious conduct. (*G.D. Searle & Co. v. Superior Court* (1975) 49 Cal.App.3d 22, 29.) However, the court may read the complaint as a whole so that conclusory allegations may be sufficient when read in context with the facts alleged as to the defendant's wrongful conduct. (*Perkins v. Superior Court (General Tel. Directory Co.)* (1981) 117 Cal.App.3d 1, 6-7.)

As indicated in the above section, Plaintiff has sufficiently alleged a claim for financial elder abuse based on fraud. As a result, the motion to strike is denied as moot.

2.

CASE #	CASE NAME	HEARING NAME
CVSW2403497	ZHANG VS ZHAO	APPLICATION FOR SALE OF DWELLING

Tentative Ruling: Hearing Required.